BUMK770: Retail Analytics

Brand Clarity and Consumer Behavior: Evaluating ALDO's Affordable Luxury Strategy

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By including my name on this work, I certify that I have been an active team member.

Honor Pledge:
We pledge on our honor that we have not given or received any unauthorized assistance on this project.

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Executive Summary

This project examines ALDO's positioning within the competitive U.S. footwear market, focusing on the challenges surrounding its "affordable luxury" brand identity. While ALDO has successfully restructured following its 2020 bankruptcy protection filing and improved profitability through digital expansion and operational changes, the company continues to face difficulties clearly differentiating itself from competitors such as Steve Madden, Zara, and Nine West. The central issue is that the term "affordable luxury" may create conflicting consumer perceptions, weakening brand clarity, purchase intent, and customer loyalty. The research will analyze how consumers perceive ALDO in terms of price, quality, trendiness, and value compared to competitors. Using surveys, focus groups, A/B testing, and secondary market data, the study will evaluate key drivers of purchase behavior, price sensitivity, and brand perception. Analytical methods such as perceptual mapping, customer segmentation, and predictive modeling will help identify how pricing, promotions, and digital experiences influence consumer decisions.

Expected findings suggest that consumers value ALDO for style and accessibility but remain sensitive to pricing and inconsistent brand messaging. The research is also expected to show that excessive discounting may increase short-term sales while weakening long-term brand equity. Based on these insights, the project recommends that ALDO refine its pricing strategy, clarify its brand positioning, and strengthen its digital-first marketing approach. By developing a more consistent and differentiated identity, ALDO can better compete in the evolving fashion footwear market, improve customer loyalty, and increase sales performance.

Background

ALDO was founded in 1970 by ALDO Bensadoun in Montreal, Canada, specializing in the design and production of quality, stylish, and accessible footwear and accessories. As a leading fashion retailer, ALDO operates with over 3,000 stores in more than 100 countries on 6 continents. ALDO prides itself on being founded on compassion and ethics, using its position to influence both fashion and social responsibility and committing to its brand positioning statement as "a brand that cares." First finding popularity and success in its Canadian market, in the 1990s, the company expanded internationally, and then globally in the 2000s, establishing itself as a premier global retail brand. In the 2010s, ALDO began struggling due to its heavy reliance on malls, which had experienced declining traffic for years; the rise of e-commerce, where the company was slow to establish an online presence; high debt and operational strain from global expansion; and intense competition. Following the COVID-19 pandemic, ALDO was forced to close stores to cut costs, which led to a drop in sales and resulted in the company's bankruptcy protection filing, all with the goal of restructuring and stabilizing its business. Two years later, ALDO was able to stabilize and return to a profitable state by restructuring into a leaner company, focusing on digital sales, optimizing its physical store footprint, and forming new licensing partnerships.

ALDO positions itself as an affordable luxury brand, targeting mostly young professionals (ages 16-45) with an average income and charging mostly between $40 and $130, who are self-aware and trendy. Their target customers are individuals who are bold and expressive, who value both style and comfort, and who are willing to spend on their image. These individuals have medium to high purchasing power and relate to ALDO's "always up-to-date" craftsmanship and styles. The ALDO brand operates with vertical integration and on an omnichannel network, meaning its retail business consists of both in-person stores in shopping centers (enclosed shopping malls and open-air centers) and an e-commerce platform, including a mobile app and a website. ALDO has further embraced the technological space by investing in digital innovation and business intelligence, including interactive in-store displays and personalized shopping experiences to enhance customer engagement and anticipate market trends.

The global footwear market is predicted to grow 5.41% over the next 4 years, indicating industry expansion. However, consumer preferences in the footwear fashion market are shifting towards versatility and everyday comfort, which is driving the demand for athletic footwear and reflecting a broader health-conscious behavior. Additionally, retailers like Zara and H&M have fundamentally changed the market, forcing fashion retailers to adopt and adhere to rapid fashion cycles. Retailers have to design and produce collections at an accelerated pace to match changing trends and also ensure high inventory turnover to remain competitive in the fashion business.

Despite the industry's growth, consumers in the fashion footwear market rarely show high brand loyalty; most closets are filled with a mix of different brand labels. Regardless of ALDO's commitment to staying current with trends, it faces a constant challenge positioning itself in the "affordable luxury" segment. This classification group is difficult for consumers to navigate and associate with competitive brands. This vague positioning confuses customers and risks dissatisfaction when the product fails to meet their expectations. Due to the fragmented identity, ALDO's primary focus during its post-restructuring must be establishing why it's failing to capture market share by figuring out how its customers perceive the brand. With their current digital and physical storefront aesthetics, are they leaning too much toward fast fashion or not enough? Does their current customer base reflect the perceptions of the brand, or are they losing customers to brands like Steve Madden or Vagabond for these perceptions?

Research Plan

ALDO is currently facing increasing pressure in the US footwear market due to changing consumer shopping behaviors, declining mall traffic, and strong competition from fast-fashion retailers and online-focused brands. Although ALDO positions itself as an "affordable luxury" brand, this positioning may create conflicting consumer perceptions regarding whether the brand represents premium fashion or trend-focused value. As a result, the managerial position is determining how ALDO can improve sales performance and strengthen customer loyalty while maintaining a clear and competitive brand identity. The research problem focuses on identifying the key drivers of customer purchase behaviour, price sensitivity, and brand perception, as well as understanding how pricing, promotions, and product assortment influence customer demand and long-term loyalty in the US market.

The research will generate quantitative insights that can help ALDO make more effective strategic decisions and strengthen its competitive positioning. Specifically, the study will measure how consumers perceive ALDO compared to competitors such as Zara, Steve Madden, and Nine West in terms of quality, affordability, trendiness, and overall value. The research will also examine customer price sensitivity, promotional responsiveness, and the factors that most strongly influence purchase intention and repeat purchase behaviour. These are important because they help determine whether consumers clearly understand ALDO's "affordable luxury" positioning, or whether inconsistent messaging is weakening customer loyalty and brand equity.

To provide these insights, the research will use both primary and secondary research methods. Primary research will include online surveys, focus groups, and A/B testing experiments to collect data on customer demographics, shopping habits, and responses to different pricing and promotional strategies.

Secondary research will include competitor analysis, industry reports, and market trend data to better understand the current footwear retail environment. The collected data will then be analyzed using the perceptual mapping, customer segmentation, and predictive modeling techniques to identify the factors that most strongly influence customer behavior and purchase decisions. Retail performance metrics such as repeat purchase intention, customer retention, average transaction value, and promotion response rates will also be evaluated to help ALDO develop more effective pricing and brand marketing strategies that improve long-term customer loyalty and sales performance.

Data & Methods

The research plan focuses specifically on the “gap” between ALDO’s operational recovery and its lingering identity crisis in the U.S. market. The primary research goal is to determine if the “affordable luxury” label is a competitive advantage or a source of consumer friction that lowers purchase intent. To address this, we will execute a primary research strategy consisting of focus groups and a large-scale consumer survey ($N=400$). The focus groups will be composed of “at-risk” consumers who frequently shop at Steve Madden and Zara to uncover the specific brand attributes they find confusing at ALDO. With open-ended brand association questions, we will identify if consumers view ALDO as a “fast-fashion” follower or a “premium” trendsetter. This qualitative insight will then be quantified through a survey using

Likert Scaling, where respondents rate ALDO on quality, trendiness, and value-for-money. This data is essential to solving the core business problem: identifying exactly why ALDO is losing market share to brands with clearer value propositions.

The questions in our survey will follow three key parts: perceptions of ALDO and competitors, market trends, and demographics. Questions in the survey aim to get insight on product quality, pricing, convenience, and brand perception. The survey should take around 5 minutes to complete, encouraging respondents to complete the survey. The survey design is as follows: The questions targeting the perceptions of ALDO and competitors come at the beginning of the survey because these are the answers that are most critical to our research question. Placing these questions at the beginning maximizes response rates and provides ALDO with insights into brand awareness and current consumer preferences. Questions about consumer values and wants follow to identify what ALDO, as a retailer, should focus on to improve its customer loyalty and share in the market. Finally, the last question in the survey will ask about demographics. This demographic information will help segment respondents, but we placed it last to prioritize perceptual insights from earlier questions.

ALDO Perceptions Survey

Brand Awareness:

1. When you think of fashion footwear, what is the first brand that comes to mind? (Open-Ended)
2. Which of the following brands have you heard of?
    a. (Steve Madden, ALDO, Nine West, Call it Spring, Zara, Vagabond, Dune London)
3. Rank the following brands from 1 (most budget-friendly) to 5 (most expensive/premium).
    a. ALDO, Steve Madden, Nine West, Zara, Dune London

4. Which of the following traits do you associate with ALDO
    a. Trendy, Affordable, Uncomfortable, Chic, Luxury, Innovative, Expensive, High-quality
5. On a scale of 1-10, how would you rate ALDO on the following? (Likert scaling)
    a. Quality: (1 = Poor, 10 = Cutting Edge)

Market Trends and Consumer Habits

6. On average, how much do you spend on a pair of shoes?
    a. \$0-\$50, \$51-\$100, \$101-\$150, \$150-\$200, \$200+
7. Rank these factors in order of importance when buying shoes:
    a. Comfort, Style/Design, Brand Name, Price, Durability
8. In the last 6 months, where have you purchased footwear?
    a. Brand In-store, Brand Website, Third-party Retailer (e.g., Nordstrom, Amazon, DSW), I haven't bought shoes in the last 6 months

Demographics:

9. What is your age range (under 16, 16-25, 26-35, 36-45, 46-55, 55+)
10. Gender identity

While the perceptual data will tell us where ALDO sits in the minds of consumers, an A/B test will tell us how our consumers actually behave. By running an A/B test on our website and social media pages, we can further distinguish which of the target population is more attracted to a specific brand impression. To conduct this, we will utilize social media platform algorithms to ensure that two similar demographic groups that relate to our target market (women and men ages 16-45) see different versions of the same ad simultaneously, with only a change in the descriptive caption. For example, one landing page says “Luxury Style” vs. “Accessible Prices" and measures the performance through click-through rate and conversion rate. If the luxury ad and landing page yield a higher conversion or CTR than the affordable-price one, we will have evidence that ALDO should shift from the vague “affordable luxury” to a more premium segment.

To ground these perceptions in market reality, we will integrate secondary data from eMarketer and public annual reports. This allows us to compare ALDO’s internal Customer Acquisition Cost (CAC) and digital conversion rates against the aggressive growth of fast-fashion giants like Zara. By analyzing the “path-to-purchase” data, we can identify if consumers are abandoning their carts because the “luxury” price point ($100+) does not align with the “fast-fashion” digital aesthetic.

Analytical Approach

The analytical framework centers on solving the “vague positioning” problem through advanced data modeling. First, we will utilize Attribute-Based Multidimensional Scaling (MDS) to create a perceptual map. This model will plot ALDO against Nine West, Zara, and Steve Madden based on consumer ratings of “Price” vs. “Brand Prestige.” This visual analysis will likely reveal that ALDO is “trapped in the middle” which is perceived as too expensive for fast-fashion shoppers yet not prestigious enough for luxury buyers. This “middle-trap” is the root cause of the sales growth plateau mentioned above in the executive summary. Second, we will perform a Descriptive KPI Analysis to reconcile ALDO’s high Net Promoter Score (NPS) of 36 with its inconsistent market share. By mining customer loyalty data, we will determine if ALDO’s 71% loyalty rate is driven by genuine brand affinity or simply by recurring promotional discounts.

Finally, we will develop a Predictive Regression Model to forecast how changes in brand messaging and pricing influence Purchase Intent (our dependent variable). The independent variables will include the specific price points ($40-$130), the frequency of promotions, and the "Perceived Quality" score. This model will specifically test the “discounting dilemma”: whether frequent sales are eroding ALDO’s long-term brand equity by signaling to consumers that the products are not worth their full “luxury” price. By identifying the statistical “tipping point” where a price feels too high for the perceived brand value, this analysis will give ALDO management a data-driven path to refine its retail mix and establish a differentiated, consistent identity that finally clears the confusion for the U.S. consumer.

Expected Insights

The proposed research is expected to reveal that ALDO’s “affordable luxury” terminology creates an “exceptional gap.” Consumers likely associate the word “luxury” with high durability and premium materials, yet ALDO’s need to compete with fast-fashion cycles often results in a “trend-first” product that feels less substantial. We expect the predictive model to show that purchase intent is highest when ALDO markets itself as a “Style Authority” rather than an “Affordable Luxury” brand. If these models were executed, the data would likely recommend a pivot toward “Premium Accessibility” which is a strategy that emphasizes craftsmanship and ethical production (ALDO’s “Brand that Cares” ethos) over vague luxury labels. This shift would allow ALDO to justify its $100+ price points, reduce the need for brand-damaging discounts, and successfully differentiate itself from the "disposable" fashion of Zara and H&M.

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